

Securities Legislation

Governance, Regulation and Compliance in Context

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Contents

- Unpacking the relationship between ethics, governance and regulation;
- What is the *purpose* of regulation and corporate governance;
- Foundational overview of South African regulatory and compliance universes;
- Introduction to the 'Twin Peaks' model of financial regulation.



Thought Experiment

What is the Purpose of Regulation and Corporate Governance



Brief discussion: 10-15 mins

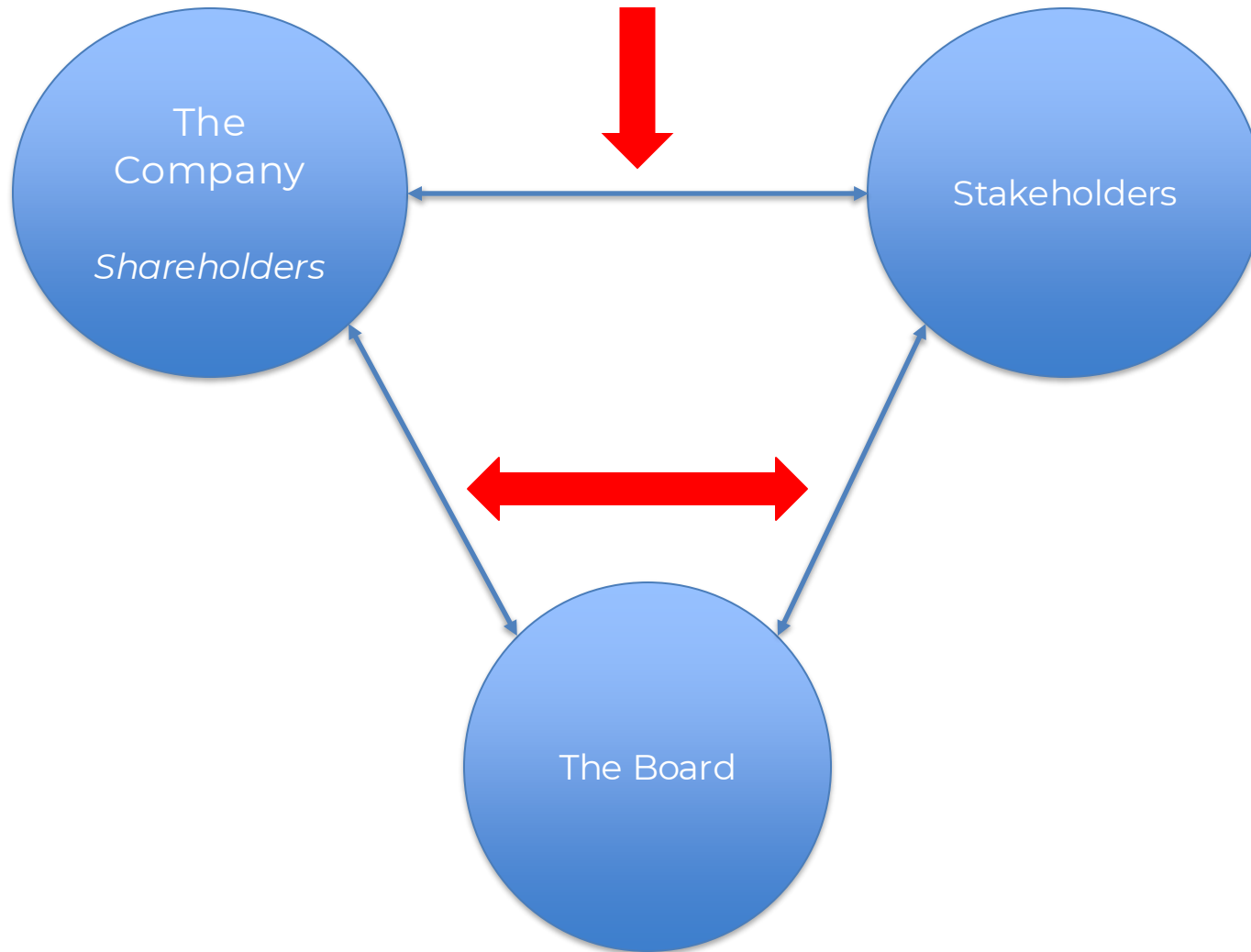
Thought experiment:

Imagine a world **without** any regulation and any regulators. For instance – there is **no** King IV Code, Companies Act, Consumer Protection Act, Banks Act, FICA, FAIS...

Would organisations spend significant time and resources on facilitating ‘compliance’ in this world? Would corporate governance be at all relevant?

If yes – *why?*

If no – *why?*



Core Problem:

How do we, in practice, define “business value” and “business success”?

See: Section 7 of the Companies Act 71 of 2008

“The purposes of this Act are to –

(b) promote the development of the South African economy by—...

...

(d) reaffirm the concept of the company as a means of achieving economic and social benefits;

...

(i) balance the rights and obligations of shareholders and directors within companies;

”

...

“In Africa, CSR activities consist mostly of those activities that add to infrastructure or the economic development of the community through job creation, taxation and so on.

...

Traditional African approaches to community, leadership and business are at times at variance with the very principles upon which western theories are built. Africans are community-conscious, have a high respect for power distance relationships and believe in harmonious win-win relationships.”

- *Kwasi Dartey-Baah & Kwesi Amponsah-Tawiah*

Exploring the limits of Western Corporate Social Responsibility Theories in
Africa

“There is continuing debate about the existence or otherwise of a correlation between good corporate governance and successful performance. Good corporate governance processes are likely in my view to create an environment that is conducive to success. It does not follow that those who have good corporate governance processes will perform well or be immune from failure.

Risk exists to some extent at the heart of any business. Risks are taken in the search of rewards. No system of corporate governance can prevent mistakes or shield companies and the stakeholders from the consequences of error.”

- Justice Owen

Report of the HIH Royal Commission

Ethics and *Ubuntu*

Fundamentals of understanding an 'ethical base' of governance (with a focus on the importance of a decolonialized understanding)



“The ability to undertake business in an ethical way underpins a generic element of corporate governance; the problem is what may be perceived as ethical in one context may not be perceived as such in another. It would be difficult to construct a completely universal, absolutist or global approach to corporate governance.”

- K E Howell

Chapter 1, Corporate Governance in Africa

Definition of Morality

Principles guiding the distinction between right and wrong, and what is considered good or bad conduct.

Application of Morality

At a Societal Level

1. Shapes the values, norms, and laws that govern collective behaviour.
2. Influences the development of legal frameworks like the Constitution of South Africa, which embodies principles such as equality, justice, and human dignity.
3. Key regulatory frameworks, such as the Promotion of Access to Information Act (PAIA) and the Prevention and Combating of Corrupt Activities Act (PRECCA), reflect ethical considerations to combat injustice and corruption.

At an Individual Level

1. Guides personal behaviour and decision-making in line with moral responsibilities.
2. Upholds principles such as Ubuntu, which emphasises communal support, fairness, and mutual respect.
3. Encourages professionals, especially lawyers and compliance officers, to act with integrity and accountability.

Moral Theory	Broad Overview
Utilitarianism	Consequences of each choice and pick one that does least harm or most happiness.
Deontology	Abiding by the moral rules that would apply to society and acting by the “golden rule”.
Relativism	Moral code shaped by own society.
Divine Command Theory	Law of God.
Virtue ethics	Only good people can make good moral decisions. Improve oneself to develop universally appreciated qualities: wisdom, prudence, loyalty, honesty, temperance, bravery, magnanimity, and justice.
Egoism	Act in one’s own best interest because you cannot know what third party wants.
Theory of Natural Rights	Rights (life, liberty, own property) are self-evident.

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Ethics and Morals

- Ethical decision-making **in professional settings** requires balancing legal, organisational, and moral responsibilities.
- It goes beyond conscious reasoning to consider values, integrity, and the broader impact of decisions.
- Ethical decisions in a professional context always have a moral component, influencing trust, fairness, and accountability.
- Often formalised through **codes of conduct** that provide guidance for navigating moral dilemmas in the workplace.

Aspect	Morality/Ethics	Law
Definition	Based on a personal or group-held sense of right and wrong.	A system of rules created and enforced by society or institutions.
Justification	Objectively difficult to justify; varies by culture or belief.	Codified and supported by established legal principles.
Emotional Impact	Can be emotionally manipulative by implying counterpositions are unethical.	Generally neutral, focused on compliance and enforcement.
Basis	Rooted in values, beliefs, and societal norms.	Rooted in legislation, case law, and constitutional principles.
Enforceability	Unsupportable in a legal sense unless tied to specific codes (e.g., professional ethics).	Legally enforceable through courts and regulatory bodies.
Overlap	Ethical principles often inform the creation of laws (e.g., justice, equality).	Legal standards can reinforce ethical behaviour but may not cover all moral concerns.

Basic Introduction to Regulatory Theory & Models of Regulating South African Securities



Why is this relevant to you?

***PRESUMED TO KNOW LAW, EVEN
THOUGH IMPOSSIBLE – BUT MUST KNOW
AND UNDERSTAND LAWS THAT
REGULATE YOUR PROFESSION.***

LAW is *NOT* just simple rules and regulations.

It includes principles that need to be interpreted and applied in hard cases.

It often involves *difficult questions*.

General Financial Legislation

1. Companies Act 71 of 2008

- Sets out requirements for the registration and governance of companies.
- Provides mechanisms for transparency and accountability, critical for mitigating financial crime.

2. Banks Act 94 of 1990

- Regulates banking institutions, including obligations for reporting and compliance with AML and KYC regulations.

3. Financial Markets Act 19 of 2012

- Governs the operation and regulation of financial markets, ensuring transparency and integrity in transactions.

4. National Credit Act 34 of 2005

- Ensures responsible lending practices and requires institutions to verify client details as part of KYC measures.

5. Income Tax Act 58 of 1962

- Includes provisions for reporting financial transactions that may raise AML concerns, such as large or unusual cash movements.

6. Promotion of Access to Information Act 2 of 2000 (PAIA)

- Enables access to information to promote transparency and accountability, aiding investigations into financial crimes

7. Protection of Personal Information Act 4 of 2013 (POPIA)

- Balances the need for KYC and AML information-gathering with the protection of client data and privacy rights.

KYC, AML, and CTF-Specific Laws

1. Financial Intelligence Centre Act 38 of 2001 (FICA)

- Primary legislation for KYC, AML, and CTF compliance.
- Establishes obligations for accountable institutions to identify and verify clients, report suspicious transactions, and combat financial crimes.
- Creates the Financial Intelligence Centre (FIC) to oversee compliance and reporting.

2. Prevention of Organised Crime Act 121 of 1998 (POCA)

- Criminalises money laundering and participation in organised crime.
- Provides mechanisms for asset forfeiture and combating financial crime

3. Protection of Constitutional Democracy Against Terrorist and Related Activities Act 33 of 2004 (POCDATARA)

- Criminalises the financing of terrorism and requires financial institutions to report suspicious activities related to terrorism financing.

4. Financial Sector Regulation Act 9 of 2017 (FSRA)

- Establishes a Twin Peaks regulatory framework, with the Prudential Authority and the Financial Sector Conduct Authority (FSCA).
- Includes oversight of AML and CTF compliance.

Soft Law and Governance Frameworks

1. JSE Listings Requirements
 - Mandates listed companies to maintain high levels of transparency, which supports AML and KYC objectives.
 - Requires detailed disclosures that can highlight irregularities or suspicious activity
2. King IV Code on Corporate Governance
 - Encourages ethical leadership, risk management, and transparency.
 - Aligns with AML and KYC efforts by promoting accountability and integrity in financial and organisational decision-making.
3. Basel III Framework (as adopted)
 - Global standards incorporated into South Africa's banking sector regulations to enhance risk management, including KYC and AML controls.

KEY LEARNING:

THE 'COMPLIANCE UNIVERSE' FOR THOSE WORKING IN REGULATED FINANCIAL MARKETS IS VAST AND VARIED.

MAJOR PERSONAL RISK:
PRESUMED TO KNOW LAW, EVEN THOUGH IMPOSSIBLE – BUT MUST KNOW AND UNDERSTAND LAWS THAT REGULATE YOUR PROFESSION.

Importance of Delegated Legislation

The 'devil is in the detail' in much of the legislation regulating South Africa's Financial Services industries

Delegated legislation bridges the gap between broad legislative principles and the practicalities of regulation



What is Delegated Legislation?

Laws and regulations made by **government departments** and **regulators** under the authority of enabling Acts of Parliament.

Example:

Regulations under the **Financial Sector Regulation Act (FSRA)** or directives issued by the **FSCA** or **Prudential Authority**.

Why is Delegated Legislation Important?

- **Flexibility:**

Rapid regulatory responses to evolving market conditions (i.e. new financial products, technology, or risks.)

- **Detail-Oriented:**

Provides specific guidance and technical rules that supplement broad primary legislation.

Example: FSCA regulations on **market conduct** and **Treating Customers Fairly (TCF)**.

- **Expertise-Driven:**

Allows industry experts and regulators to craft practical and industry-specific rules.

- **Regulatory Clarity:**

Clarifies complex obligations for market participants

Example: so-called 'Guidance Notes'

Key Learning:

Shift from practice-based to principles-based regulation in South Africa.

Key Development:

Transition driven by the **Financial Sector Regulation Act (FSRA) 2017**, introducing the **Twin Peaks Regulatory Framework**.

- **Principles-Based Approach:**

- Focuses on **desired outcomes** like fairness, transparency, and ethical conduct.
- Institutions interpret and apply **broad principles** rather than follow prescriptive rules.

- **Example in Financial Markets:**

- **Treating Customers Fairly (TCF)** framework under the FSCA.
- Financial institutions must ensure fair treatment in all client interactions, with limited specific guidance.

- **Challenges:**

- **Ambiguity:** Institutions must interpret principles, increasing complexity.
- **Resource-Intensive:** Requires investment in systems, training, and legal expertise.
- **Accountability:** Firms must demonstrate compliance and outcomes, shifting responsibility to management.

- **Impact:**

- Increased compliance burden but allows **flexibility** and promotes **innovation**.
- Aims to create a **robust and ethical financial system**.

* 1:45:40 in exam

Introduction to the 'Twin Peaks' Model of Regulating Financial Services

One of the major changes in the South African regulatory universe



“Silo” (Institutional) Regulatory Model

- **Features:**
 - Each regulated institution (e.g., banks, insurers) has its own regulator.
 - Regulators oversee all activities within the institution.
- **Challenges:**
 - Double regulation for institutions offering multiple products (e.g., banking and insurance).
 - Complexity as institutions and products evolve.
- **Examples:**
 - **China, Mexico, Hong Kong**

Functional Regulatory Model

- **Features:**
 - Regulation based on product or transaction type rather than the institution.
 - Separate regulators for banking, insurance, asset management, and investment services.
- **Challenges:**
 - Entities engaged in multiple transactions face multiple regulators.
 - Fragmented oversight without a “big picture” approach.
- **Examples:**
 - **Italy, France, U.S.**



Unified or Integrated Regulatory Model

- **Features:**
 - One super-regulator oversees market conduct and prudential soundness.
- **Challenges:**
 - Potential conflicts of interest between prudential and market conduct priorities.
 - Lack of distinction between institution types and their unique risks.
- **Examples:**
 - **Japan, Germany, Singapore**

Twin Peaks Regulatory Model

System Stability Regulator (Prudential):

- Enforces prudential regulations.
- Prevents financial crises by maintaining systemic stability.



In South Africa:

- The **Prudential Authority** ensures the financial soundness of institutions, preventing systemic risks that could trigger a financial crisis.
- The **Financial Sector Conduct Authority (FSCA)** focuses on fair treatment of consumers, addressing issues like mis-selling and abusive practices in the market.



Market Conduct Regulator:

- Deters misconduct.
- Protects consumers of financial products and services.

Advantages of the Twin Peaks Regulatory Model

Clear Mandates:

- Separates regulatory goals into two distinct areas: **prudential regulation** (financial stability) and **market conduct** (consumer protection).
- Each regulator has a well-defined focus, avoiding conflicts of interest between objectives.

Reduced Regulatory Overlap:

- Eliminates the need for multiple overlapping regulators (e.g., banks, insurers, and medical schemes no longer regulated separately).
- Streamlines compliance processes, reducing the administrative burden for financial institutions.

Balance Between Stability and Conduct:

- Recognises that prudential and market conduct goals can conflict but ensures both receive equal attention.
- Addresses systemic risks while protecting consumers, creating a comprehensive regulatory framework.

Enhanced Accountability:

- Clear separation of responsibilities makes regulators more accountable for their specific mandates.

Proactive Regulation:

- Helps identify and mitigate risks (both systemic and consumer-facing) before they escalate into crises.

Disadvantages of the Twin Peaks Regulatory Model

Potential Duplication of Effort:

- Overlap between the two regulators can occur in areas where prudential and conduct issues intersect, leading to inefficiencies.

Coordination Challenges:

- Requires strong collaboration and information-sharing between the two peaks to address interconnected risks effectively.

Possible Competition Between Peaks:

- Regulators might prioritise their own objectives, leading to conflicts or delays in decision-making.

Resource-Intensive:

- Establishing and maintaining two separate regulators with distinct expertise requires significant resources and expertise.

Complexity for Financial Institutions:

- Financial institutions dealing with both regulators might face challenges in navigating different interpretations or requirements.

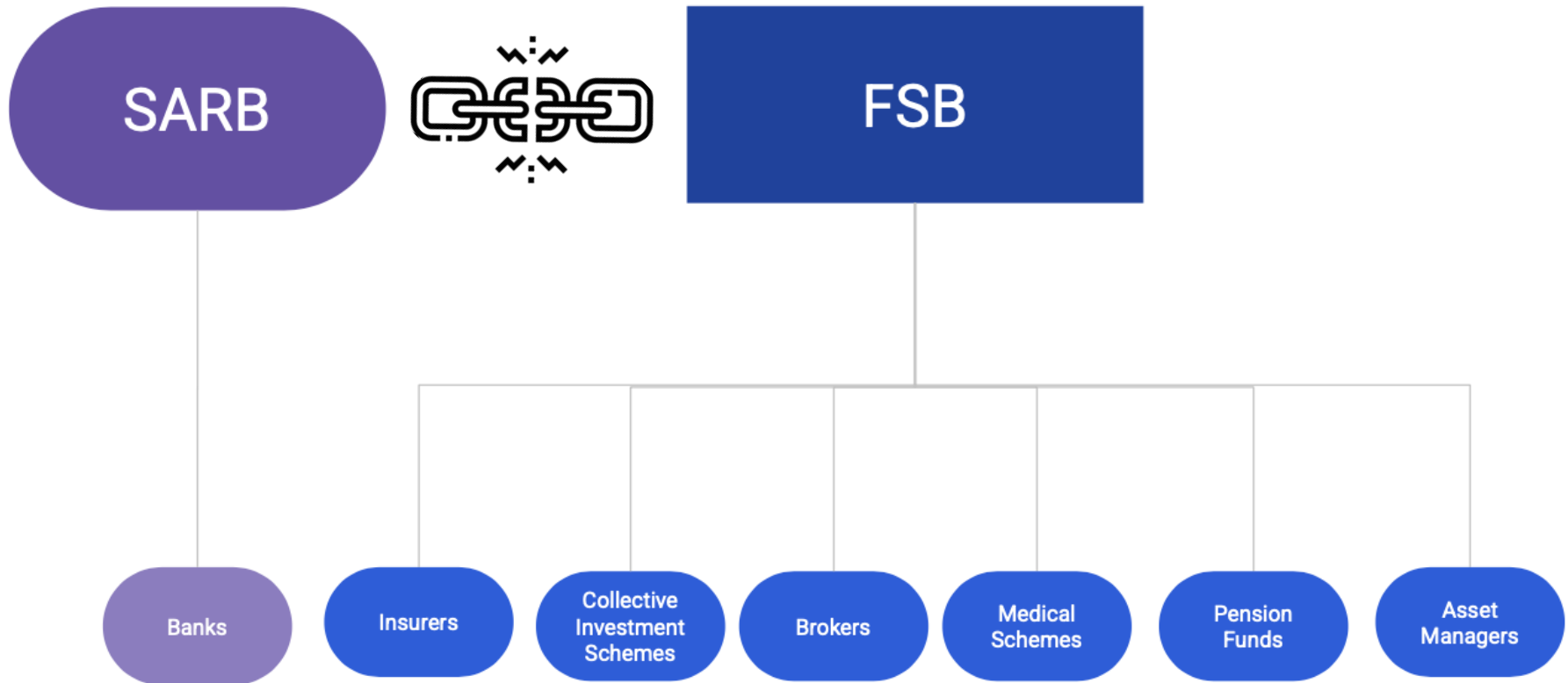
*Silo**Integrated*

Aspect	Institutional Model	Functional Model	Unified Model	Twin Peaks Model
Focus of Regulation	Regulates institutions (e.g., banks, insurers) as entities.	Regulates specific products or transactions (e.g., banking, insurance).	One regulator oversees all aspects of the financial system.	Separate regulators for prudential stability and market conduct .
Structure	Separate regulators for each type of financial institution.	Separate regulators for each product or function.	A single "super-regulator" handles all financial oversight.	Two regulators with distinct mandates for prudential and conduct oversight.
Strengths	Specialised knowledge of each institution.	Specialist expertise for specific financial activities or products.	Simplifies regulatory structure; reduces overlap.	Balances systemic stability with consumer protection; clear mandates.
Weaknesses	Overlapping regulation for institutions offering diverse services.	Fragmented approach; difficult to address interconnected risks.	Conflicts between prudential and market conduct goals; overextension.	Potential duplication of effort or competition between peaks.
Systemic Risk Monitoring	Limited to each institution's scope; lacks a holistic view.	Focused on transactions, not interconnected risks.	Often diluted due to competing priorities.	Strong focus through the prudential regulator .
Examples of Countries	China, Mexico, Hong Kong.	Italy, France, United States.	United Kingdom (pre-2008), Japan, Germany, Singapore.	South Africa, United Kingdom (post-2013), Netherlands, Australia.

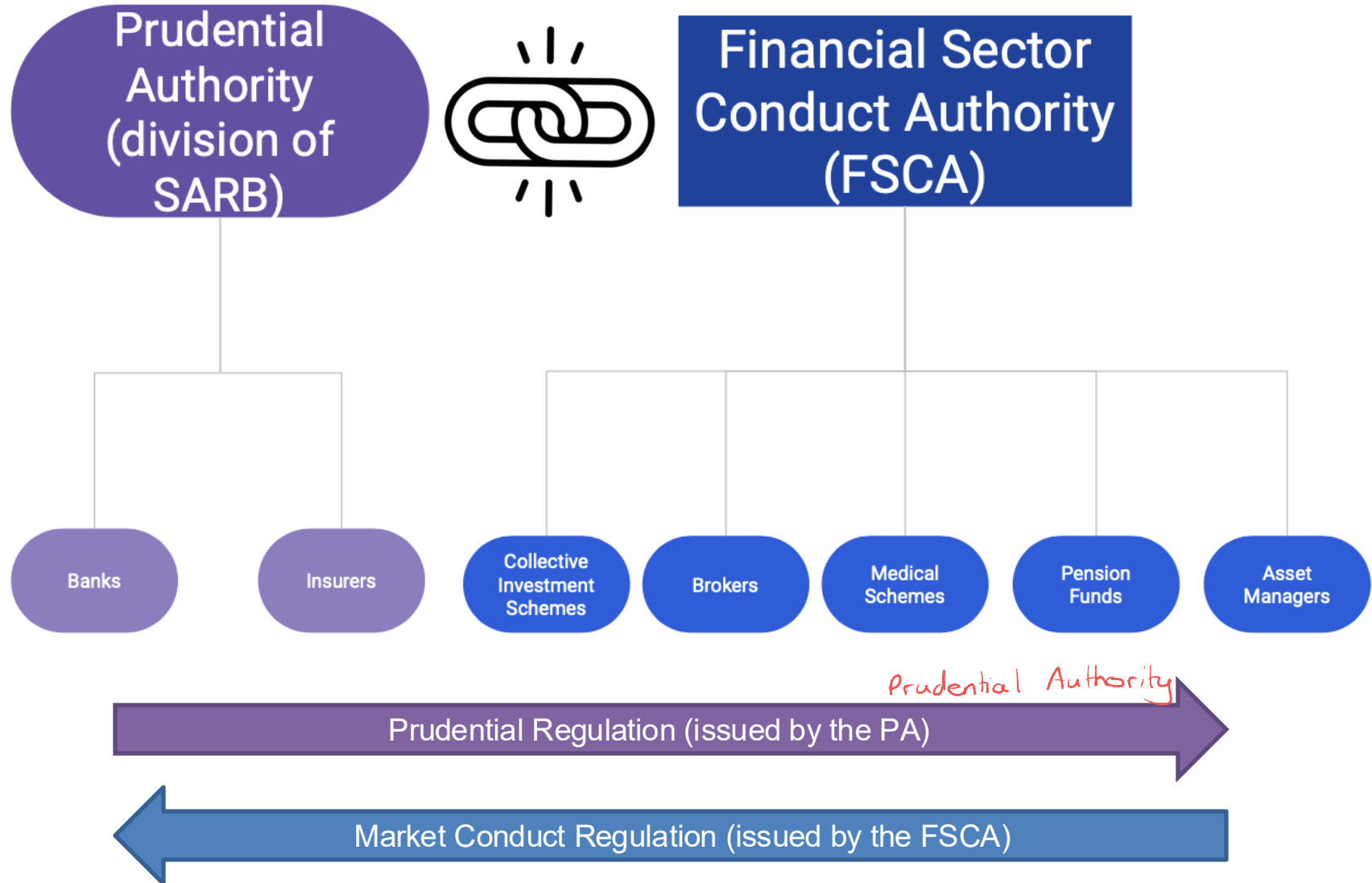
Why Twin Peaks Regulatory Model *NOW*?

- Global Financial Crisis (GFC) and sub-prime disaster 2008 created need to re-evaluate models of financial system especially in respect of financial stability
- Market misconduct and consumer abuse, when practised at scale, can become their own source of financial crisis
- Before had only considered banks as part of systemic risk:
 - Collapse can lead to a domino effect of collapsing firms, and ultimately the market imploding
- Near collapse of the large US insurer AIG in 2008, and its USD 182 billion bail-out, now understand that some insurers are systemically important

South Africa *BEFORE* Twin Peaks



South Africa *AFTER* Twin Peaks



Criticism of Twin Peaks in South Africa

1. Dual regulation and may create bloated bureaucracy
2. Huge Increase Cost – the industry and end consumers will probably pay
3. No Cost Benefit Analysis Done
4. Importation of foreign solution without analysing what aspects of current SA system worked well and what worked badly
5. Relies on highly skilled civil servants who are not corrupt
6. Regulates whole financial sector whilst Banks make up a large part of the SA sector and pose the greatest risk.



Twin Peaks in South Africa – Concerns Moving Forward

- **Coordination Challenges:**

- Overlap between Prudential Authority (PA) and Financial Sector Conduct Authority (FSCA) may cause inefficiencies and delays, especially in fintech and cross-sector risks.

- **Skills and Capacity Constraints:**

- Limited availability of skilled regulators hampers oversight, especially in emerging areas like fintech and cross-border services.

- **Rising Compliance Costs:**

- Higher costs for financial institutions are often passed on to consumers, undermining financial inclusion.

- **Corruption and Governance Risks:**

- Public sector governance concerns risk eroding trust in the independence and effectiveness of regulators.

- **Consumer Protection Gaps:**

- Persistent issues in predatory lending and transparency in financial products require stronger enforcement and consumer education.

- **Systemic Risks Beyond Banks:**

- Non-banking institutions like insurers and pension funds may not receive adequate prudential focus.

- **Evolving Financial Innovations:**

- Fintech, digital currencies, and decentralised finance (DeFi) pose challenges for traditional regulatory frameworks.

- **Balancing Regulation and Inclusion:**

- Stringent requirements may unintentionally exclude smaller institutions that promote financial inclusion.

COFI Bill, the FSCA and the SARB?

Clearer Mandates

- Conduct-related regulations – FSCA
- Financial stability and systemic risk – SARB:
 - The SARB will continue to oversee the payment system from an integrity, stability, and efficiency perspective, requiring collaboration with the FSCA to ensure conduct outcomes across the payment infrastructure.

Collaboration, Cooperation, and Information Sharing

- Key overlaps - systemic risk and consumer protection.
- The FSCA will need to cooperate with the SARB to ensure conduct outcomes are considered across all components of the payment infrastructure.

Focus on Outcomes and Principles

- Shift away from 'tick box' compliance
- Processes and compliance systems must be 'outcomes-based'

Addressing Regulatory Fragmentation

- Reducing regulatory gaps and arbitrage

Preparation and Reading

Prescribed:

- “Activist Theo Botha on why Steinhoff’s shadow falls on King codes” – Barron, C. Sunday Times (18 February 2018)
- ESG Outlook 2024 (South Africa) – Webber Wentzel
- King IV Report published by the IoDSA (online at: <https://www.iodsa.co.za/page/KingIV>):
 - Foreword
 - Part 2 (focusing on stakeholder inclusivity and the legal status of King IV)

Optional/Suggested:

- Cheruiyot-Koech, R.; Reddy, C.D. Corporate Social Responsibility Preferences in South Africa. *Sustainability* 2022, 14, 3792
- Tony Ikechukwu Nwanji, “Ethical Perspectives on Corporate Governance” (Chapter 3) in *Corporate Governance in Africa* (e-Book available through UCT Libraries)
- Milton Friedman, “The Social Responsibility of Business is to Increase its Profits”, *New York Times Magazine* (September 13, 1970)
- I Esser & JJ du Plessis ‘The Stakeholder Debate and Directors’ Fiduciary Duties’ (2007) 19 *SA Merc LJ* 346 at 358.
- I Esser ‘Corporate Social Responsibility: A Company Law Perspective’ (2011) 23 *SA Merc LJ* 317.

Thank You

